Sobha Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: SOBHA · BSE: 532784 · Report prepared 7 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Sobha is a Bengaluru-based home builder. It buys or partners on land, builds apartments, villas and plotted layouts, and sells them mostly before they're finished. Unlike most Indian developers it doesn't hire contractors: it owns its construction arm and its own factories for concrete, glazing, joinery, metalwork and interiors, and that arm also builds for outside clients. Bengaluru and the National Capital Region (NCR, mainly Gurugram) are the two markets that matter.

The accounting quirk that drives this whole report: Sobha only books a home as revenue when the building is finished and handed over after the Occupancy Certificate (OC), the government's OK to live in it. So today's sales turn into reported profit three to four years later.

Measure	Value	Plain read
Market cap	₹13,638 cr	What the stock market values the whole company at. Down from ₹14,677 cr at our last report.
H1 FY27 pre-sales	₹5,862 cr (+47%)	Pre-sales = value of homes booked by buyers. Best half-year Sobha has ever had, already 55% of the roughly ₹10,600 cr full-year target.
Q2 FY27 pre-sales	₹2,206 cr (+16%)	The second-best quarter ever, but well below Q1's record ₹3,656 cr because only two small projects launched.
Q2 average price	₹15,522 / sq ft	Price per square foot achieved, up 14% on a year ago. Prices are holding near record.
Q2 collections	₹2,084 cr	Cash actually received from buyers. A record quarter, which matters because collections lagged badly last quarter.
Q2 revenue (P&L, company)	₹1,017 cr	Revenue booked in the accounts. Down 31% from ₹1,469 cr a year ago because few homes were handed over this quarter.
Q2 EBITDA / PAT (company)	₹119 cr (11%) / ₹33 cr	EBITDA = operating profit before interest, tax, depreciation and amortisation. Eleven paise per rupee of revenue, and just ₹33 cr of net profit. Still thin.
Q2 operating margin (Screener, standalone)	4.5%	On Screener's stricter standalone basis (other income excluded), the margin was the weakest in two years.
Unrecognised revenue	₹22,040 cr	Homes already sold but not yet booked in the accounts. Up from ₹20,553 cr last quarter. More than four years of today's revenue, already contracted.
Net cash (30 Sep 26)	₹322 cr	Cash ₹1,827 cr minus borrowings ₹1,505 cr. Still more cash than debt, but half what it was in June after ₹617 cr of land payments.
Price/earnings	59.2x	The market pays 59 times last year's profit. It's paying for the margin recovery before it shows up.

2 Concall coverage

Quarter	Call date	Transcript read?
Q4 FY23 → Q4 FY26 (13 calls)	Jun 2023 → 5 May 2026	Carried forward from the Q1-2027 report
Q1 FY27	21 Jul 2026	Prior boundary call (read in full for the Q1-2027 report)
Q2 FY27	**19 Oct 2026**	**Newly deep-read in full ★**

Only the Q2 FY27 call was read in full this quarter. The three-year backstory comes from our Q1-2027 report. Screener did not yet have the Q2 transcript, so it was taken from the NSE filing dated 26 Oct 2026. The same two executives, MD Jagadish Nangineni and CFO Yogesh Bansal, hosted the call, as they have every call since 2023.

★ Latest concall highlights — Q2 FY27 (call held 19 October 2026)

- **Sales held up without big launches.** ₹2,206 cr of pre-sales, up 16%, came mostly from repeat selling in projects launched earlier (Sobha OneWorld and Neopolis in Bengaluru, Crescent and Aranya in Gurugram). Neopolis had been flat for a year and a half and picked up once towers were handed over. The only launches were a plotted layout in Mysore and an 0.8 mn sq ft tower project in Calicut.
- **Cash finally followed the sales.** Collections hit a record ₹2,084 cr, and net operating cash flow was ₹422 cr. Last quarter collections grew only 10% while sales grew 76%, so this is the fix we were waiting for.
- **The margin promise got a new shape.** In July the MD said reported EBITDA margin should be "closer towards 17% to 20%" as Q4 ends. This time: EBITDA margin "much higher than 15%" for the second half of FY27, and "towards 20%" from FY28. He added a new number: net profit up "at least 50%" on last year. With ₹84 cr in the first half, that means roughly ₹370 cr or more in the second half alone.
- **A bigger, later launch slate.** At least 8–9 projects and 11–12 mn sq ft (about ₹18,000 cr of sale value) are planned for Q3 and Q4, including two large Bengaluru projects of ₹2,500–3,000 cr+. That's up from 8.2 mn sq ft for the remaining nine months in July, so it's now more back-loaded. The MD hedged on timing: approvals are "very, very tight", and some may slip to Q4. He said full-year pre-sales could beat the 30% growth guidance.
- **Tone:** confident and less specific than usual. He deferred three analyst questions (the land value added, which projects launch in Q3, and why unallocated overheads rose) to "get back to you". He also bought a fire-and-safety contracting business from Sobha Projects and Trade Ltd (SPTL), a business that already did about 70% of its work for Sobha. No price was given on the call.

Business mix & capacity. Geography (H1 FY27 pre-sales): Bengaluru ₹3,385 cr (58%), NCR ₹1,974 cr (34%), Kerala ₹357 cr (6%), others 2.5%. Plain read: still a two-city company, with nine of every ten rupees of sales from Bengaluru and Gurugram. **Domestic/export split:** not applicable, all sales are in India. **Capacity:** a developer has no plant-utilisation figure. The closest measures are a forthcoming launch pipeline of 20.42 mn sq ft across 18 projects and about 15 mn sq ft of unsold inventory. Plain read: roughly two years of launches are queued up, and there's plenty of stock to sell even without a new launch. **Deliveries:** 2.56 mn sq ft completed in H1 against about 6 mn sq ft planned for the year (trimmed from 6–6.5 mn), so 3.5 mn sq ft must come in H2. **Ticket size:** 36% of H1 sales were homes above ₹5 cr, mostly Gurugram. Over 70% of inventory sits at ₹2–5 cr. **Non-housing:** contracting, manufacturing and retail made ₹225 cr in Q2 (up 31% on Q1), with an outside order book of ₹540 cr. Rent added ₹24 cr. **Land:** ₹987 cr paid in H1 against a ₹1,500–1,600 cr full-year plan. About 30% of that settled old dues on existing projects, and three new Bengaluru plots, one in Gurugram and a ~₹1,000 cr Chandivali (Mumbai) project were added.

★ Since our last report

Builds on the **Q1-2027 report** (boundary call 21 July 2026). Prior verdicts: **Durable trigger → YES**, **Management consistent → MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger verdict (YES)	₹20,553 cr of sold, unbooked revenue at 30%+ project margin. Only the timing is in doubt.	Backlog grew to ₹22,040 cr and record collections back it up. But the quarter's booked margin barely moved.	Confirmed
Consistency verdict (MAYBE)	They deliver on what they control and keep missing their own dates.	The cash and sales promises held. The margin target was reworded again, from "17–20% by end of Q4" to "above 15% for the half" and "towards 20%" next year.	Unchanged
Cash conversion	Collections lagged sales (+10% vs +76%). The weakest link.	Record ₹2,084 cr collected in Q2, ₹422 cr operating cash flow, ₹4,009 cr in H1.	Improving
Reported margin 17–20% by Q4 FY27	Q2 flagged as flat. Promise made five years running.	Q2 EBITDA 11% (from 9.7%), as flagged. Target now framed as a half-year average above 15%, with 20% pushed to FY28.	Slipping
FY27 pre-sales +30% (~₹10,600 cr)	Q1 was a third of the target.	H1 ₹5,862 cr = 55% of target. MD hints at beating it.	On-track
8.2 mn sq ft of further launches in FY27	Nine projects over nine months.	Only ~1 mn sq ft launched in Q2. The H2 slate is now 11–12 mn sq ft, and Q3 timing is "very tight".	Slipping
Completions 6–6.5 mn sq ft	Up from 5.4 mn in FY26.	Now "about 6" mn. 2.56 mn done, 3.5 mn needed in H2.	Slipping

The prior report had no formal checkpoints box, so the promise-to-watch rows above are scored instead. **Promise results: Delivered (cash) | Partly (margin) | Delivered (pre-sales) | Missed (launch pace) | Partly (completions).**

Verdict change this quarter: both verdicts unchanged. The trigger case got stronger on cash, and that was the one thing we said could undermine it. Consistency stays MAYBE because the margin date moved again, quietly this time, through a change of wording rather than a missed number.

★ 3. Earning-trigger thesis

The trigger is still an accounting catch-up. Sobha has ₹22,040 cr of revenue from homes it has already sold, waiting on occupancy certificates and handovers before it can be booked. Management says this pool carries 30%+ project-level margin. The CFO put the cash version at ₹12,517 cr of projected project-level margin cash flow from existing projects, or ₹19,748 cr including forthcoming ones. What the accounts show today, 11% EBITDA and a ₹33 cr quarterly profit, is the last of the homes sold cheaply in 2020–22 plus a fixed overhead bill spread over a quarter with very few handovers. The MD gave three reasons the margin will rise. Handovers are lumpy and will normalise. Upcoming completions are on Sobha's own land, which earns more than joint-development projects. And the old low-margin projects "in the next 2 quarters… will reduce quite a bit". New this quarter, cash is now following the sales, which was the missing piece. The open question is still the date.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Margin catch-up on the sold backlog	EBITDA margin "much higher than 15%" in H2 FY27, "towards 20%" in FY28. PAT up at least 50% in FY27.	Q2 EBITDA 11% vs 9.7% in Q1. Analysts noted ~48% gross margin in Q2. H1 PAT ₹84 cr, down 2.6%. The H2 profit ask is large.	1–4 quarters	Moderate. The backlog is real but booking keeps slipping.	Unchanged. Target reworded, slightly later.
Pre-sales scale-up	"Should do much better than what we have guided" (+30%).	H1 ₹5,862 cr, +47%. Q2 sustenance sales held without big launches.	Now	Strong	↑ Improving. Repeat sales proved out.
Price realisation	Favourable mix and product positioning.	₹15,522/sq ft, +14% YoY. ₹10,922 in FY24.	Ongoing	Strong	Unchanged

Cash conversion	Positive operating cash flow, sustain zero net debt all year.	Record ₹2,084 cr collections. ₹755 cr H1 operating cash flow. Net cash fell to ₹322 cr after ₹617 cr of land.	Now	Moderate (was Unproven)	↑ Improving. The lag closed.
Launch pipeline	8–9 projects, 11–12 mn sq ft, ~₹18,000 cr in H2.	Only two small launches in Q2. Approvals "very, very tight".	1–2 quarters	Moderate	↓ Weakening. More back-loaded.
In-house fire & safety	Buying SPTL's fire-safety business cuts GST leakage and speeds delivery.	₹60–65 cr a year of revenue, ₹180 cr order book, 70% Sobha's own work.	1–2 years	Weak. It's small.	New

3b Trigger check

Trigger type	Yes/No	What was said (19 Oct 2026 call)
Debt cut	No	Net cash maintained, not reduced: "remaining focused on sustaining 0 net debt position throughout FY27." Net cash actually halved.
New business	No	The fire-and-safety purchase brings in-house work Sobha already buys, mostly for its own projects. It isn't a new market.
Margin up	Yes	"For the second half of FY27, I think the EBITDA margin should fairly be much higher than 15%… from FY28… it will go towards 20%." Also: "at least over 50% growth of PAT over last financial year."
New management	No	Same MD and CFO.
New capacity	No	No plant. Launches are covered under the pipeline row above.
Big orders	Yes	"We had INR 22,040 crores of revenue yet to be recognized from units already sold." That's contracted and waiting to be booked.
Turnaround	No	Profitable throughout.
Promoter buying	No	Not mentioned.

The single concrete driver: ₹22,040 cr of homes already sold at higher prices start getting handed over and booked, lifting reported margin as the last cheap 2020–22 projects clear.

3c Margin bridge

Company EBITDA margin was 11% in Q2 against 9.7% in Q1, still single-digit to low-double-digit, as it's been for three years. Screener's standalone operating margin fell to 4.5%. The MD's explanation: few handovers meant a small revenue base, while fixed overheads and elevated selling costs didn't shrink, and old low-margin projects are still being booked. Management calls the low level temporary, tied to handover timing, and says the higher-margin backlog lifts it from Q3. **(one-off, per management. Not yet proven.)**

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 (Jun 2023)	Pre-sales +20%, launch 6–7 mn sq ft.	+28%, 7.03 mn sq ft.	Delivered
FY25 (FY24 calls)	Pre-sales ₹8,500 cr, launch 9 mn sq ft.	₹6,277 cr, a 26% miss and a decline. Launches 8.76 mn sq ft.	Missed
FY26 (May 2025)	+30% pre-sales and ₹10,000 cr, launch ~10 mn sq ft.	₹8,136 cr (+30%, but not ₹10,000 cr). Launches 6.04 mn sq ft.	Partly
Deleveraging (2023 on)	Reach and hold net cash.	Net cash for seven straight quarters, now ₹322 cr.	Delivered
Margins (Feb 2024 → Jul 2026)	Better margins "towards end of year" (Feb 2024), "from Q4" (Feb 2025), "this financial year definitely" (May 2025), FY27 (May 2026), 17–20% by Q4 FY27 (Jul 2026).	Reported margin 8% → 7% → 8% → 6% → 11% (company basis, Q2 FY27). Now reframed as "above 15%" for H2 and "towards 20%" for FY28.	Missed (repeatedly)
Q1 FY27 cash (Jul 2026)	Collections lag is timing. Operating cash flow ~₹2,000 cr for FY27.	Record ₹2,084 cr collections in Q2, ₹755 cr H1 operating cash flow.	Delivered (on track)

Q1 FY27 launches (Jul 2026)	8.2 mn sq ft over the remaining nine months.	~1 mn sq ft in Q2. 11–12 mn sq ft now crammed into H2.	Too-early (slipping)
FY27 new (Oct 2026)	PAT +50% or more. H2 EBITDA >15%. 6 mn sq ft completions.	Needs ~₹370 cr+ of profit in H2 against ₹84 cr in H1.	Too-early

Narrative drift. The story hasn't changed: backward integration, Bengaluru plus Gurugram, a big sold backlog with fat margins, a clean balance sheet. This quarter they delivered the thing they'd said was only a timing issue, collections, and that earns credit. What drifts is the margin date, and this time it drifted through wording. The July promise of 17–20% "as we leave Q4" became a half-year average "much higher than 15%", with 20% pinned on FY28. It's a softer way to restate the target, though not a miss yet. Tone was a notch less forthcoming than in July: three analyst questions were deferred, and the acquisition was explained mainly as strategy.

5 Bottom line — two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

What moved it: the weak spot we flagged last time, cash lagging bookings, fixed itself. Q2 collections were a record ₹2,084 cr and operating cash flow ₹422 cr. The sold-but-unbooked pool grew to ₹22,040 cr at prices around ₹15,500 per sq ft, well above the older projects still clearing through the accounts. Pre-sales held at ₹2,206 cr in a quarter with almost no launches, so demand isn't just launch-day hype. The driver is concrete, contracted and visible. What's missing is the booking. Q2 profit was ₹33 cr and the margin 11%, and the second half now has to carry roughly ₹370 cr+ of profit for management's own target to land. At 59 times earnings the market is already paying for that.

Management consistent? → MAYBE

vs last quarter: unchanged

What moved it: nothing decisive in either direction. On things they control, they keep delivering: collections, net cash held, sales ahead of plan, the same strategy for three years. On forecasts, the old habit showed again. The margin target slid from "17–20% by end of Q4" to "above 15% for the half, 20% next year". The launch plan for the rest of the year grew while Q2 launches shrank, so most of FY27's launches now depend on approvals arriving in a five-month window the MD himself called "very, very tight". Completions were trimmed from 6–6.5 to about 6 mn sq ft. None of this is a broken promise yet, but it's the same pattern of best-case dates that's been running since 2024. Treat the H2 margin and profit numbers as a target with slack built in, not a forecast.

★ 6 Checkpoints for next quarter (Q3 FY27)

- Reported EBITDA margin moves clearly into the mid-teens, well above Q2's 11%.
- Booked revenue jumps as handovers pick up (Q2 was ₹1,017 cr).
- At least two of the second-half launches go live in Q3, ideally the large Bengaluru project.

Sources: Sobha Ltd Q2 FY27 earnings-call transcript (call 19 Oct 2026, filed with NSE/BSE 26 Oct 2026), Q2 FY27 press release (19 Oct 2026), the Q1-2027 Concall Tracker report on Sobha (14 calls from Q4 FY23 to Q1 FY27), and Screener.in financials (standalone quarterly results, snapshot). **A note on the numbers:** pre-sales, collections, EBITDA, PAT and net-cash figures are management's own (consolidated). Screener shows standalone Q2 sales of ₹910 cr, operating margin 4.5% and net profit ₹21 cr. The difference is consolidated vs standalone and the treatment of other income. The CFO cited net cash of ₹322 cr, while the press release shows net debt of –₹340 cr. Neither changes the conclusions.